

Introduction to tax credits [¶11-010]

[¶11-010]

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Credits

Once a person has determined their income tax liability by applying the basic tax rate to their taxable income, that liability is satisfied by any available tax credits and then, finally, through the payment of terminal tax. In some cases, a person's tax credits may exceed their income tax liability for the tax year. In that case the composition of the surplus tax credits is determined as if those credits were set off against the tax liability in the following order:

- # non-refundable credits (eg foreign tax credits — [¶26-250](#))
- # credits for supplementary dividends ([¶26-500](#))
- # tax credits for imputation credits ([¶17-010](#))
- # carried forward research and development (R&D) tax credits ([¶11-100](#))
- # R&D tax credits ([¶11-150](#)), and
- # refundable credits (eg excess tax payments, Working for Families tax credits, Māori authority credits — [¶1-400](#)).

Any unused non-refundable credits are lost. Unused credits for supplementary dividends may be made available to another company in the same wholly-owned group or applied against the tax payable for any one or more of the previous 4 years for the company or another company in the same wholly-owned group (s [LP 3](#)). Any surplus imputation credits are either converted by the taxpayer to a loss and carried forward or, if the taxpayer is a natural person, carried forward as a tax credit. Any surplus R&D tax credits are either refunded, to a specified maximum, or carried forward, while any surplus refundable credits are refunded to the taxpayer by the Commissioner ([¶2-110](#)).

Law: IT07 ss [BC 8](#), [LA 1–LA 5](#), [LP 3](#)

Last reviewed on 31 December 2025

Current tax credits [¶11-015]

[¶11-015]

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A number of provisions under the Income Tax Act 2007 (IT07) provide for tax credits. They relate to the following:

- # ss [EH 30–EH 33](#): main income equalisation scheme ([¶127-075](#))
- # s [EH 77](#): thinning operations income equalisation scheme ([¶127-085](#))
- # s [HC 24\(2\)](#): entitlement of trustees ([¶125-100](#))
- # s [LB 1](#): PAYE income payments ([¶11-400](#))
- # s [LB 2](#): provisional tax payments ([¶122-240](#))
- # s [LB 3](#): resident withholding tax ([¶115-190](#))
- # s [LB 4](#): abating Working for Families tax credits, minimum family tax credit and Best Start tax credit under subparts [MD](#), [ME](#) and [MG](#) ([¶112-170](#))
- # s [LB 4B](#): R&D tax losses ([¶111-100](#))
- # s [LB 5](#): non-resident withholding tax ([¶126-440](#))
- # s [LB 6](#): retirement scheme contribution tax ([¶129-320](#))
- # s [LB 6B](#): residential land withholding tax ([¶17-020](#))
- # ss [LB 7](#) and [LB 8](#): personal service rehabilitation payments ([¶15-303](#))
- # s [LC 13](#): independent earner ([¶111-080](#))
- # subpart [LD](#): charitable or other public benefit gifts ([¶111-055](#)) and payroll donations ([¶111-063](#))
- # subpart [LE](#): imputation credits ([¶117-010](#))
- # subpart [LJ](#): foreign income tax ([¶126-250](#))
- # subpart [LK](#): attributed controlled foreign company income ([¶126-085](#))
- # subpart [LO](#): Māori authority credits ([¶124-314](#))
- # subpart [LP](#): supplementary dividends ([¶126-500](#))
- # subpart [LS](#): multi-rate PIEs and investors ([¶111-092](#), [¶129-140](#) and [¶129-145](#))
- # subpart [LT](#): petroleum mining ([¶128-125](#))
- # subpart [LU](#): mineral miners ([¶128-105](#))
- # subpart [LY](#): research and development tax credit ([¶111-150](#))
- # s [LZ 6](#): home vendor mortgage (if approved before 5 August 1982)
- # subpart [MK](#): KiwiSaver schemes and complying superannuation funds ([¶111-094](#) and [¶129-250](#))
- # subpart [MX](#): R&D tax losses ([¶111-100](#))
- # subpart [MH](#): FamilyBoost tax credits ([¶111-200](#)).

Law: IT07 Pts [L](#), [M](#)

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Child taxpayer credit [¶11-035]

[¶11-035]

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Children do not need to file a tax return if they have income less than \$2,340 not taxed at source (eg income from mowing their neighbour's lawn or babysitting). This exemption does not apply to income that is a pay-as-you-earn (PAYE) income payment, resident or non-resident passive income, beneficiary income, excluded income or income exempt under another provision. It therefore does not allow a child to claim a refund of tax that has already been paid, such as PAYE and resident withholding tax (RWT).

A child for these purposes is someone who is:

- # 14 or under
- # 15, 16 or 17 and still attending school (excluding tertiary institutions), or
- # 18, and turned 18 on or after 1 January in the previous tax year and continues at school.

Children and interest income

Banks and other financial institutions are required to deduct RWT at a rate of 45% from interest paid to clients who have not furnished their Inland Revenue number (IRD number). Some children may not have IRD numbers; therefore, their income will be subject to the 45% tax rate, unless they apply for a tax number. Applying for an IRD number does not necessarily mean that the child will have to furnish an annual tax return disclosing interest and other income earned.

Law: IT07 s [CW 55BB](#)

Last reviewed on 31 December 2025

Tax credit for gifts and donations [¶11-055]

[¶11-055]

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A refundable tax credit is available for cash gifts of \$5 and over made by natural persons to specified charitable or public organisations. No credit is available for absentees, companies, public authorities, Māori authorities, unincorporated bodies and trustees liable for tax under subpart HC and s HZ 2, although companies and Māori authorities may claim deductions for charitable donations (¶10-492, ¶10-700 and ¶24-340). Persons who participate in the payroll giving scheme (¶11-063) cannot claim this credit in relation to their payroll donations. A credit cannot be claimed for testamentary gifts.

The amount of the credit is calculated as 33% of the total gifts made in a tax year. The total amount of qualifying donations made in a tax year must not exceed the person's taxable income for that year. The total amount refunded must be no more than the annual amount of the tax credits. No credit can be claimed if a taxpayer's taxable income is reduced to nil by utilising available net losses.

Example:

In the 2024–25 tax year Roger has a loss brought forward of \$150,000 and current year income of \$100,000. Therefore, his taxable income for 2023–24 is nil. Roger has made charitable donations of \$10,000. Roger's donations tax credit will be nil because the tax credit cannot exceed his taxable income.

Charitable or other public benefit gifts

A "charitable or other public benefit gift" is defined as a gift of money of \$5 or more made to one of the organisations listed in [Sch 32](#) or specified below (s LD 3(2)):

- # a society, institution, association, organisation, or trust that is not carried on for the private pecuniary profit of an individual, and whose funds are applied wholly or mainly to charitable, benevolent, philanthropic or cultural purposes within New Zealand
- # an entity that is removed from the charities register, but only for the period from when it fails to meet the registration requirements to the later of the day the entity is removed from the register or the day all appeal rights are exhausted in relation to the entity's charitable status
- # a community housing entity that meets the requirements to derive exempt income under s CW 42B
- # a public institution maintained exclusively for any one or more of the above purposes
- # a board that is constituted under subpart 5 of Pt 3 of the Education and Training Act 2020 that is not carried on for the private pecuniary profit of any individual
- # a tertiary education institution that is established or continued under subpart 3 or 4 of Pt 4 or Pt 4A of the Education and Training Act 2020 and has not been disestablished under that Act and that is not carried on for the private pecuniary profit of any individual
- # a fund established and maintained exclusively for the purpose of providing money for any one or more of the above purposes in New Zealand by a society, institution, association, organisation or trust that is not carried on for the private pecuniary profit of an individual, or
- # a public fund established and maintained exclusively for the purpose of providing money for any one or more of the above purposes in New Zealand.

From 1 April 2020, for a gift of money to be a charitable gift to one of the above entities, the entity must be on the list published by the Commissioner (see below). This does not apply to community housing entities, Boards of Trustees or tertiary education institutions. In addition, if an entity qualifies for registration under the Charities Act 2005, it has to register to qualify for donee status.

A subscription of \$5 or more paid to an entity that does not confer any rights arising from membership is also included in a "charitable or other public benefit gift". A testamentary gift and a gift made by forgiving some or all of a debt are excluded from being a "charitable or other public benefit gift".

The list of funds and institutions that qualify for the credit (both those listed in Sch 32 and those Inland Revenue (IR) has approved as satisfying the criteria in s LD 3(2)) is regularly updated on the IR website (ird.govt.nz — search keyword: donee organisation).

Debt forgiveness

From 1 April 2008, an amendment clarified that a “charitable or other public benefit gift” does not include a gift made by debt forgiveness. There is a savings provision for taxpayers who had already taken a position based on the previous legislation and had filed a return or donation tax credit claim before 17 December 2019.

Wholly or mainly applying funds

Interpretation statement IS 18/05, “Income tax: donee organisations — meaning of wholly or mainly applying funds to specified purposes within New Zealand”, and fact sheet, “Applying the ‘safe harbour’ approach” concludes that “wholly or mainly” in this context requires considerably more than a bare majority, but that it is not possible to interpret the expression with any greater certainty. However, to bring greater certainty, the Commissioner proposed an administrative safe harbour of 75%. If an organisation meets or exceeds the minimum safe harbour percentage, the Commissioner will generally accept that the organisation meets the “wholly or mainly” requirement without further enquiry.

Other interpretative conclusions reached in the statement include:

- # The most appropriate meaning of “funds” is “cash on hand”, which includes cash and other highly liquid assets available to meet commitments. “Funds” is accepted as equating to the accounting concepts of “cash” and “cash equivalents”.
- # “Applied” means “devoted to” or “put to use”. Funds can be applied by being spent or accumulated, ie set aside for future spending or invested.
- # The expression “funds are applied” suggests:
 - # The application of funds arises as a result of the organisation either spending money or undertaking some affirmative act to invest or set aside the money for future spending for some purpose or purposes.
 - # The affirmative act is the decision to accumulate funds that has been made at the appropriate level in the organisation for decisions of that type according to its established management practices.
 - # The decision to accumulate funds will need sufficient detail to be able to characterise that application of funds as advancing charitable, benevolent, philanthropic, or cultural purposes within New Zealand.
 - # It is the specified purposes that must be “within New Zealand” not the application of funds. This means the location where funds are spent is not relevant.
 - # The enquiry in regard to the application of funds is to identify objectively whether a sufficient relationship exists between the purposes served by the actual or proposed activity and advancing specified purposes within New Zealand. The connection needs to be sufficiently direct, although not necessarily an immediate connection.
 - # Where funds have been applied to more than one purpose, apportionment may be necessary. Apportionment issues can be approached on a similar basis to apportionment arising under s DA 1 (the general permission).

The statement also includes a large number of examples to help an organisation decide how much of its total funds are accumulated or spent for specified purposes within New Zealand.

Safe harbour approach

The safe harbour approach comprises determining an organisation’s safe harbour percentage for a financial year. Calculating an organisation’s safe harbour percentage involves 3 steps:

- # Use the organisation’s statement of cash flows in its financial statements or statement of receipts and payments in its performance report to find the organisation’s “total funds”. “Total funds” is the sum of

the cash on hand at the end of a year and the cash spent during the year (ie all cash outflows whether capital or revenue).

Find the amount of the organisation's "funds applied to specified purposes within New Zealand". This is a combination of the cash spent, invested or set aside entirely for specified purposes within New Zealand and amounts reasonably apportioned to those purposes.

Divide the cash spent or set aside for specified purposes within New Zealand (as per the second step) by the organisation's "total funds" (as per the first step) and express this as a percentage.

If the figure is below 75% in any year, the cumulative total of its funds applied over the current and preceding 2 years can be used (including years before the commencement of the statement). This allows some year-on-year variation for exceptional years. However, it is not expected that under the rolling 3-year cumulative safe harbour calculation an organisation would devote 50% or less of its funds to specified purposes within New Zealand in any particular year.

The statement states that if the rolling 3-year cumulative safe harbour percentage is below 75% or the figure in any year is 50% or below, the organisation should contact IR as soon as possible.

The statement includes a worked example of the safe harbour calculation.

Change in practice

Organisations unable to satisfy the "wholly or mainly" requirement under the new higher threshold have alternatives if they wish donors to continue to be eligible for tax benefits. These include:

seek to be added to Sch 32 of the IT07 as an overseas donee organisation approved by Parliament (this option is not available if an organisation is established for the principal purpose of fostering or administering any religion, cult or political creed)

establish and maintain a separate fund exclusively for specified purposes within New Zealand (in which case only gifts to that fund would be eligible for donation tax benefits).

Donations to a fund established and maintained for specified purposes

QWBA, [QB 19/10](#), "Donations: What is required to establish and maintain a fund under s [LD 3\(2\)\(c\)](#) of the Income Tax Act 2007?" considers what is required to establish and maintain a fund so that it qualifies as a donee organisation. This item complements [IS 18/05](#).

Under s [LD 3\(2\)\(c\)](#), donations to a fund established and maintained exclusively for the purposes of providing money for any charitable, benevolent, philanthropic or cultural purposes within New Zealand by a non-profit entity will be eligible for a tax credit.

In the Commissioner's view, a fund requires or involves the following:

The fund must be established and maintained by a non-profit entity.

The fund must comprise an actual stock of money or other assets set aside for the purposes of providing money for one or more of the specified purposes within New Zealand.

A non-profit entity can set up a fund by making book entries in its financial accounts, but it must make sure the entries are supported by an actual stock of money or other assets and show that the fund has been set up on a "firm or permanent basis" for the required purpose.

Best practice suggests a fund is established and maintained through a combination of book entries and a document setting out the establishment, operation and winding up of the fund (either as part of the rules of the non-profit entity or as a stand-alone document).

Maintaining the fund requires maintaining the actual stock of money or other assets consistent with any book entries, as the fund's actual stock of money or other assets at its establishment may change over time through additions or reductions. Best practice suggests movements of the money or other assets in the fund are tracked and specifically reported on in the non-profit entity's financial accounts.

- # The fund's money must be used for, or used to provide money for, the required purpose. Whether money is used for the required purpose is determined by where the specified purposes are advanced (ie within New Zealand) and not where the fund's money is spent. The fund's money may be used:
- # for purposes other than the required purpose, but only if they are subordinate or incidental to the required purpose and are not independent purposes
- # by the non-profit entity to meet or reimburse reasonable costs incurred specifically in administering the fund. This includes a contribution to meet a reasonable share of the non-profit entity's administration costs where such costs include the costs of administering the fund, or
- # by the non-profit entity to meet or reimburse costs it incurs furthering the entity's own purposes, provided these are exclusively specified purposes within New Zealand and are consistent with the purposes of the fund.
- # The fund must be maintained for the required purpose throughout its lifetime, including the disposal of the fund's money or other assets if wound up.

QWBA, [QB 22/02](#), "Donations — what is required to establish and maintain a 'public fund' under s [LD 3\(2\)\(d\)](#) of the Income Tax Act 2007" considers what is required to establish and maintain a public fund under that section of the IT07. [QB 22/02](#) considers the question in light of the fact that a person who donates money to a donee organisation can receive a donations tax credit or deduction and a donee organisation includes a "public fund" established and maintained exclusively for the purpose of providing money for one or more specified purposes within New Zealand.

In October 2022, IR released an operational statement in 2 parts:

- # [OS 22/04](#), "Charities and donee organisations: Part 1: Charities" ([124-195](#)), and
- # [OS 22/04](#), "Charities and donee organisations: Part 2: Donee organisations",

which sets out how IR and Charities Services will monitor and advise charitable entities of the requirements for income tax exemption and donee status, including:

- # the types of entities that can become donee organisations
- # the benefits of being a donee organisation
- # how to get approval as a donee organisation
- # the requirements for a "charitable or public benefit gift", and
- # the donation tax receipt requirements.

The statement also addresses other administrative tax matters relevant to donee organisations, such as record-keeping and the implications of a donee organisation with charitable purposes being deregistered from the Charities Register.

Donations to religious and educational organisations

Donations to approved New Zealand religious organisations, medical research schools and universities, approved overseas aid funds, kindergarten associations, state schools, school boards of trustees and parent-teacher associations are listed by IR as qualifying for the tax credit. To qualify, the school must be state funded (including integrated schools) or be approved as a charity for tax purposes.

School fees

Payment of state-funded school fees are also listed as being eligible so long as the fees go to the school's general fund. However, tuition fees or payments for specific activities such as school trips are not eligible because the fees in such cases do not have the character of an unconditional gift. See the notes on the personal tax credit claim fact form, [IR526](#).

QWBAs, [QB 18/10](#), "Income tax — state schools and donation tax credits" and [QB 18/11](#), "Income tax — state integrated schools and donation tax credits" consider what payments by parents to state integrated and non-integrated schools are gifts for donation tax credits purposes. They conclude that the following

payments by parents to both state integrated and non-integrated schools are gifts where the payment is voluntary and is:

- # to assist generally with funding the delivery of the school's curriculum
- # for a specific purpose or project to benefit the school as a whole where no material benefit or advantage is obtained in return for making the payment, or
- # to assist with the school's cost of delivering individual subjects or activities forming part of the school's curriculum and in which the student may participate regardless of whether any payment is made.

In addition, a payment by parents to a state integrated school will be a gift where the payment is voluntary and is a payment to a qualifying proprietor to assist the proprietor with its cost of supporting the delivery of the school's curriculum with special character.

Example: NCEA level 2 biology contribution

Jack is in Year 12 at his local college and has chosen to study National Certificate of Educational Achievement (NCEA) level 2 biology. The college has requested the following voluntary payments from Jack's parents given his biology subject selection:

- # \$20 to assist the school with the cost of a biology field trip to the local mud flats (attendance is a compulsory part of course requirements for the internal achievement standard), and
- # \$30 for a biology workbook (optional but recommended).

Jack's parents agree to purchase the workbook and make the requested voluntary contribution to assist the college with the cost of the field trip.

The school administrator issues a donation tax receipt to Jack's parents for \$20. The school provides Jack with a biology workbook. The voluntary payment towards the school's field trip is a gift, but the \$30 payment for the purchase of the optional workbook is not a gift.

The reason the contribution to assist the school with the cost of the biology field trip is a gift is because a sufficient link does not exist between the payment and the benefit obtained by Jack. Under the Education and Training Act 2020, Jack is entitled to free education. The field trip is part of the delivery of the school's curriculum. Jack can attend even if his parents choose not to make any or part of the requested payment. The field trip will go ahead regardless of whether Jack or any of his classmate's parents make the payment. Payments by the parents are not made in return for the biology field trip.

If the biology workbook was required (rather than optional) it becomes part of the delivery of the college's curriculum. In that case Jack's parents could not be compelled to purchase the workbook, but the college could ask for a voluntary contribution towards the college's cost of providing it. Jack would be entitled to use the workbook regardless of whether his parents make any voluntary contribution. Any contribution towards the cost of the workbook is a donation, so the school could issue a donation tax receipt.

QWBAs, [QB 22/09](#), "Income tax — Payments made by parents to private schools and donation tax credits" and [QB 22/08](#), "Goods and Services Tax — Payments made by parents to private schools" consider what payments by parents to private schools are gifts for donation tax credits purposes and whether the payments are subject to GST. [QB 22/09](#) concludes that the following payments by parents to both private schools are gifts for donations tax credit purpose where:

- # the school is a donee organisation
- # the payment is money of \$5 or more
- # the parent makes the payment voluntarily to benefit the school either generally or for a specific purpose or project, and
- # the parent or child gains no material benefit or advantage in return for making the payment.

[QB 22/08](#), which relates to GST, concludes that in most cases the parent's payment to their child's private school will generally be subject to GST at the standard rate of 15% because a private school's taxable activity is the supply of education and education related goods and services to students and their families. There can be exceptions to this GST treatment when:

- # an "unconditional gift" a parent makes to their private school is not subject to GST ([IS 20/09](#), "GST – unconditional goods" at [132-027](#)), and
- # some of boarding fees a parent pays to their child's private school can be subject to GST at 9% (due to being characterised as a supply of domestic goods and services ([132-052](#))).

Donations to childcare centres

QWBA, [QB 23/03](#) “Income Tax – Donation tax credits and payments made by parents to childcare centres” sets out when payments made by parents, guardians or caregivers will qualify for a donations tax credit. The item explains how childcare centres are funded by government subsidy. In addition, many centres also charge parents for attendance and ancillary services or goods. The type of fees is dependent on the type of childcare centre (eg a private “for-profit” childcare centre, or a community-based, parent-led not-for-profit centre). If a childcare centre charges fees for a child’s attendance (that is to say that a contractual relationship exists between the centre and the parents for the provision of early childhood education services in return for the payment of fee), then donation tax credits are not available for any attendance fees parents pay to childcare centre. In addition, no donation tax credit is available if a parent pays for optional activities or goods.

Parents may choose or be asked to make donations, pay koha or make voluntary contributions to a childcare centre. This is more common with community-based centres such as free kindergartens, kōhanga reo, playcentres and playgroups. In order to claim a donations tax credit, the centre must be a “donee organisation”. See [OS 22/04](#): “Charities and Donee Organisations – Part 2 Donee Organisations (above)”. See [QB 23/03](#) contains a detailed explanation of the requirements for claiming a donations tax credit. In summary a tax credit is available if:

- # The childcare centre is a donee organisation, and
- # The payment is a charitable or other public benefit gift, made voluntarily and the parent gets no material benefit or advantage in return.

For the GST treatment of payments made to childcare centres, see [¶32-675](#).

Subscriptions

A subscription paid to any of the above organisations or funds can qualify as a gift, as long as the subscription does not confer any rights arising from membership of that organisation or fund.

The procedure for claiming the charitable gifts tax credit is set out at [¶111-060](#).

QWBA — donee organisations and gifts

QWBA, [QB 16/05](#), “Income tax — donee organisations and gifts”, which clarifies when a donations receipt may be issued by a donee organisation considers what is meant by a “donee organisation” and a “charitable or other public benefit gift” and sets out the key principles on the meaning of “gift” (based on overseas case law). The Commissioner considers a “gift” in s [LD 3\(1\)](#) to be a payment of \$5 or more that is:

- # made voluntarily
- # by way of benefaction, and
- # for which the supporter receives no benefit of a material character in return.

The Commissioner considers a payment will not be a “gift” where:

- # the supporter (or someone else) receives a benefit of a material character in return for making the payment, or
- # the donee organisation is placed under a material obligation to do or provide something in return for the supporter’s payment being made.

The courts have considered the issue of payments constituting a gift for the purposes of ss [LD1](#) – [LD3](#).

In *The Church of Jesus Christ of Latter-day Saints Trust Board and Coward v C of IR* (2020) 29 NZTC [¶24-066](#) the Court of Appeal held that whether a payment is a gift for the purposes of s [LD 1](#) must be ascertained by:

- # considering the true nature of the transactions by carefully considering the legal arrangement actually entered into and carried out within its context and in light of the surrounding circumstances, and
- # determining whether the payments made under those transactions are gifts in light of the wording and purpose of the donations tax credit rules.

Anti-avoidance provision

From 1 April 2019, an anti-avoidance provision applies to arrangements involving tax credits under s [LD 1](#). Section [GB 55](#) provides that the Commissioner can reduce the amount of a tax credit under s [LD 1](#) when a person has entered into an arrangement that has a purpose or effect of defeating the intent and application of that section.

Law: IT07 ss [GB 55](#), [LD 1](#)–[LD 3](#), Sch [32](#); TAA s [41A](#)

Last reviewed on 31 December 2025

Procedure for claiming refund of charitable gifts credit [¶11-060]

[¶11-060]

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Section [41A](#) prescribes the ways a charitable gifts tax credit may be claimed. In practice, a person may:

- # complete the relevant donation section when providing other income information through the pre-populated account as part of the income tax year-end process ([¶12-016](#))
- # submit the receipts electronically during the tax year through MyIR, or
- # use the claim form [IR526](#).

Details of the total gifts made for the year ([¶11-055](#)), with receipts, must be provided in each case. If an individual has already submitted receipts during the year, these will automatically be taken into account without the need to fill in a separate claim form.

The time period for taxpayers requesting refunds of charitable gifts credits is 4 years from the end of the tax year in which the donation was made. A taxpayer can apply for a refund for the tax year in which the gift is made in the 4-year period beginning with:

- # the 1 April following the end of the taxpayer's income year corresponding to the tax year, if the taxpayer has a standard or early balance date, or
- # the day after the end of the taxpayer's income year corresponding to the tax year, if the taxpayer has a late balance date.

However, applications may be made before these dates in special circumstances. These "special circumstances" include the situation of a taxpayer who leaves New Zealand either permanently or for a significant length of time, or a trustee of a deceased person's estate who wishes to wind up the estate.

From 1 April 2019, for the purposes of the 4-year time bar for amending assessments, the payment of a refund is treated as an assessment and the 4-year time bar period for the Commissioner to amend the tax credit claim starts at the end of the tax year in which the taxpayer applies for the refund.

Receipts

To claim the charitable gifts credit, the taxpayer must produce receipts and satisfy the Commissioner that the gift has been made. IR requires that the receipt show the amount and date of the donation, the name of the donor(s), a clear statement that it is a donation, the signature of an authorised person, the official stamp of the donee organisation, and the word "copy" or "replacement" if applicable ([IR526](#)).

Note that in response to the Christchurch earthquake, IR has modified its receipt requirements. For donations going to donee organisations supporting the Christchurch earthquake relief effort, particularly through third parties, the minimum receipt requirements are the amount and date of the donation, a statement showing Christchurch Earthquake donation (or something similar), and the receipt must be on the letterhead of the organisation issuing it. The maximum donation that may be claimed through modified receipts is \$1,200 per receipt. For donations over \$1,200, the standard criteria for receipts (as above) apply.

QWBA, [QB 16/05](#), "Income tax — donee organisations and gifts" clarified when a donations receipt may be issued by a donee organisation. The item does this by establishing what constitutes a charitable or other public benefit gift for donation tax credit purposes ([¶11-055](#)).

Tax credit claim forms filed by a tax agent or representative do not need to have the receipts attached. Section [LD 1\(4\)](#) clarifies that a claim for a credit refund may be made on behalf of a taxpayer by a tax agent or representative, provided the tax agent or representative sights the receipt and the taxpayer retains the receipt for the next 4 tax years. Claim forms filed by tax agents or representatives must be clearly marked to show that they are filed by a tax agent or representative. Generally, claim forms sent to a tax agent or representative will have an "A" printed on them.

Credit claim notice

Once the claim has been processed, IR sends the taxpayer a credit claim notice setting out the amount of the credits allowed and the resulting refund. Any overpayments of refunds are recoverable as an excess credit. Refunds are available for transfer under Pt [10B](#) (transfers of excess tax) of the Tax Administration Act 1994 (TAA) ([12-148](#)).

Law: IT07 s [LD 1](#); TAA ss [41A](#), [108\(1C\)](#)

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Payroll giving [¶11-063]

[¶11-063]

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Employees are able to give gifts of money to a donee organisation of their choice by way of a direct deduction from their pay (salary and wages) through their employer's payroll. The scheme provides a tax credit for gifts of money from the employee's pay. The employee receives an immediate reduction in their tax by way of a tax credit for each pay period.

This tax credit is separate from the end-of-year donation tax credit claim system. Payroll donations cannot be claimed under that system ([¶11-055](#)). A tax credit for payroll donations is treated as a non-refundable credit.

In summary, payroll giving is:

- # voluntary for employers and employees
- # available only to employees whose employers file their employment income information electronically and who choose to offer payroll giving in their workplace
- # given a set tax credit of 33% of the amount donated. The tax credit is offset against the PAYE amount calculated on the employee's gross pay, thus reducing the amount of PAYE payable for that period. A maximum allowable tax credit is limited to the tax portion of the PAYE deduction on the employee's pay for each pay period
- # to be made to a donee organisation for an employee to be entitled to the tax credit. A donee organisation is a society, institution, association, organisation, trust or fund as described in s [LD 3\(2\)](#) or listed in [Sch 32](#) of the IT07.

Example:

Calculation of payroll donation

Louise, an employee, asks her employer to deduct \$10.00 from her gross weekly wage of \$762.00. The amount of the tax credit is \$3.33 and it is used to reduce the amount of PAYE that is payable by the employee for the pay period. The employer must transfer the \$10.00 donation to her chosen donee organisation on or before the PAYE payment due date that is closest to the expiry of 2 months after the end of the pay period that the donation was deducted. (See Example 2 below for how to determine this transfer date.) The employee has a take-home pay for the week of \$627.88. The charity receives \$10.00. IR receives a PAYE payment of \$124.12.

Employee's gross wage for the week	\$762.00
Donation amount	\$10.00
PAYE on gross wage (includes ACC levy)	\$127.45
Tax credit for payroll donation (\$10 × 33%)	\$3.33
PAYE less tax credit for payroll donation	\$124.12
Employee's gross wage	\$762.00
Less PAYE net of the tax credit for payroll donation	\$124.12
Less donation	\$10.00
Employee's take-home pay for the week	\$627.88

Employee's responsibility

It is the responsibility of the employee to ensure that the recipient of the donation is in fact a donee organisation and to supply sufficient details to enable the transfer to be made. Employers are not expected to obtain all the details, eg bank details, to facilitate payroll giving.

If the recipient is not a donee organisation, then the tax credit is extinguished and any shortfall in PAYE is the employee's liability.

Employer's responsibility

When an employer agrees to establish payroll giving in their workplace, it is the responsibility of the employer to ensure that the payroll donations are transferred to the correct donee within a specified period of time. Employers must transfer any payroll donations to donee organisations on or by the due date required by ss [RA 15](#) and [RD 4](#) that is nearest to the expiry of 2 months after the end of the pay period in which the donation was deducted.

Example:

	Last day of pay period	Add 2 months	Transfer date
Monthly filer	12 February 20X3	12 April 20X3	20 April 20X3
Twice monthly filer	12 February 20X3	12 April 20X3	5 April 20X3

Employers are also required to keep adequate records that prove the transfers were made. Until such time as transfer takes place, the moneys are held in trust for the employee by the employer.

Payroll donation tax credit provisions are part of the PAYE rules. Therefore, the normal penalty and use of money interest charges that apply to PAYE determination and deduction apply to payroll giving. In addition, employers are liable to a shortfall penalty of 150% if the employer knowingly does not transfer the payroll donations to the correct recipient.

Law: IT07 ss [LD 4–LD 8](#), [RD 2\(1\)\(b\)](#); TAA ss [124ZG](#), [141E\(1\)\(c\)](#)

Last reviewed on 31 December 2025

Independent earner tax credit [¶11-080]

[¶11-080]

[Click to open document in a browser](#)

The independent earner tax credit (IETC) is a tax credit for individuals who are New Zealand tax residents, whose annual income is between \$24,000 and \$70,000 from 31 July 2024 (the upper income limit before 31 July 2024 was \$48,000).

To receive the IETC, the following criteria must apply:

- # The person (or their spouse or civil union or de facto partner) is not entitled to Working for Families tax credits (or an overseas equivalent).
- # The person does not receive a main benefit, New Zealand superannuation, veteran's pension (or an overseas equivalent).

The entitlement to this tax credit is determined monthly. If a person does not meet the criteria at any point in a month, then they do not qualify for that entire month.

The effect of the IETC is that an eligible person receives a tax credit of \$520 (\$10 per week). The tax credit is subject to an abatement, ie from 31 July 2024 an eligible person who earns over \$66,000 per annum will receive a tax credit that decreases by 13¢ for every additional dollar earned.

Persons entitled to the IETC may receive the tax credit either through their pay or as a lump sum at the end of the tax year. Salary and wage earners will receive the IETC through their pay and self-employed persons or contractors can claim the tax credit at the end of the tax year.

Those who receive the IETC through their pay will have to change their tax code with their main employer (if they have more than one job). The new tax code must be recorded as "ME" or "ME SL", if the person has a student loan. This requires the completion of a new tax code declaration form ([IR330](#)) by the employee. Employees must request a personal tax summary so that IR can calculate the amount of the IETC the person is entitled to for the tax year.

If a person qualifies for the IETC for part of a tax year, that person will only be eligible for the period in which they met the criteria. Where a person becomes a New Zealand tax resident part-way through the year and then meets the criteria for eligibility, that person will qualify for the tax credit for the full months they are resident.

Where a person receives some form of government assistance for part of the year, they will not be entitled to the IETC for the months they received such assistance.

Example:

Lydia received the unemployment benefit from 1 April 2021 until 10 July 2021. She then found a job working as a seamstress for Sheryl's fashion business. Her total income for the tax year (including her unemployment benefit) was \$30,000. Lydia will be eligible for the IETC from August 2021 till 31 March 2022.

If a person receives a student allowance, ACC payments, paid parental leave or the accommodation supplement, they will still be eligible for the IETC if they meet all other eligibility criteria.

Law: IT07 ss [LC 13](#), [LC 14](#), [LC 15](#)

Last reviewed on 31 December 2025

Multi-rate PIE credits [¶11-092]

[¶11-092]

[Click to open document in a browser](#)

A multi-rate PIE may be able to claim an income tax credit for an investor (who is not a zero-rated investor) where credits are allocated to the investor in accordance with s [HM 51](#) or [HM 53](#) or for a loss calculated under s [HM 55](#) ([¶29-140](#) and [¶29-145](#)).

A multi-rate PIE cannot claim a tax credit for notified foreign investors in foreign investment PIEs in relation to imputation credits attached to dividends derived by the PIE.

In certain circumstances, where the income of an investor is not excluded income, the investor can claim a tax credit for tax paid by a multi-rate PIE on that income. Similarly, if tax is paid by a multi-rate PIE in respect of the income allocated to a zero-rated investor or after the end of an exit period, the affected investor can claim a tax credit.

Law: IT07 ss [LS 1](#)–[LS 4](#)

Last reviewed on 31 December 2025

KiwiSaver tax credits [¶11-094]

[¶11-094]

[Click to open document in a browser](#)

People who contribute to a KiwiSaver scheme (or a complying superannuation fund) are eligible for a member tax credit based on the amount of their contribution to the scheme, up to a maximum of \$260.72 for a year ([¶129-250](#)).

Law: IT07 subpart [MK](#)

Last reviewed on 31 December 2025

Tax credits for research and development tax losses — R&D tax loss “cash out” [¶11-100]

[¶11-100]

[Click to open document in a browser](#)

Legislation to improve cash flow and remove tax distortions on R&D costs for start-up New Zealand businesses applies from 1 April 2015. The provisions are primarily contained in subpart [MX](#). The main points are as follows:

- # Innovative start-ups are able to “cash out” an amount of their tax losses arising from qualifying R&D expenditure. Instead of carrying the tax loss forward to apply against future assessable income, the company receives a refundable tax credit.
- # Companies that eventually earn assessable income will return the value of the cashed-out loss through taxes paid on that income.
- # Companies that make a successful return on their investment through a non-taxable capital gain will have their cashed-out losses reinstated as losses to carry forward by repaying the value of the cashed-out loss out of the gain made.

Eligibility

The provisions are targeted at innovative New Zealand start-up companies in a tax loss position. The 2 main eligibility criteria are:

- # Corporate eligibility criteria — the applicant must be a company resident in New Zealand (and not treated as non-resident under a double tax agreement). The company cannot be a look-through company, listed company or entity established under certain statutes. In addition, 50% or more of the shares in the company cannot be held by entities that are each a public authority, local authority, Crown Research Institute or State enterprise (s [MX 2](#)).
- # Wage intensity criteria — 20% of a company’s expenditure on wages and salaries must be on R&D. This includes expenditure on employee and shareholder–employee salaries and 66% of contracted R&D. It does not include labour employed on non-eligible R&D activities. A company can choose whether to include the value of fringe benefits and employer superannuation contributions in calculating its labour costs (s [MX 3](#)).

Example:

Mattlab Ltd decides from the beginning of the 2017–18 income year to change its remuneration package for its full-time researchers to encourage them to stay in the company’s employment. Its 2 research scientists, doing R&D full time, are each paid \$100,000 pa and will receive superannuation contributions of 5% of their income for each year of service with the company (up to a maximum of 15%). Both have been with the company for 2 years. Thirteen other staff are paid \$1,040,000 in total, and the CEO, who spends one day a week doing R&D, is paid \$120,000. Mattlab Ltd has outsourced some R&D work for that year for a price of \$75,000 (excluding GST).

Option 1

Total R&D labour expenditure is \$273,500 $[(\$75,000 \times 0.66) + \$200,000 + (\$120,000 \times 0.2)]$.

Total labour expenditure is \$1,409,500 $[(\$75,000 \times 0.66) + (\$200,000 + \$1,040,000) + \$120,000]$.

The wage intensity calculation is $\$273,500 \div \$1,409,500 = 0.194$.

Option 2

Total R&D labour expenditure is \$300,100 $[(\$75,000 \times 0.66) + \$200,000 + \$20,000 + \$6,600 + (\$120,000 \times 0.2)]$.

Total labour expenditure is \$1,436,100 $[(\$75,000 \times 0.66) + \$200,000 + \$20,000 + \$6,600 + \$1,040,000 + \$120,000]$.

The wage intensity calculation is $\$300,100 \div \$1,436,100 = 0.209$.

The superannuation package adds \$20,000 of superannuation contributions and \$6,600 of tax on superannuation contributions to both the numerator and denominator of the calculation.

Matlab Ltd meets the wage intensity criteria using Option 2, but not if it uses Option 1.

Example taken from *Tax Information Bulletin* [1283-103 Vol 28, No 3](#), April 2016 at 23.

The company must also:

- # choose to apply the new subpart (a company may choose to cash out a tax loss in one year and not to cash out a loss in the following year)
- # have a net loss for the tax year
- # incur R&D expenditure in the income year, and
- # be the person (solely or jointly) in whom the intellectual property and know-how that results from the R&D vests in.

A tax loss arising from a deduction for R&D expenditure that is allocated to a future income year under s [DB 34\(7\)](#) ([110-850](#)) cannot be cashed out either in the year the expenditure was incurred or in the year the deduction is allocated to. This is because the definition of “R&D expenditure” (see below) does not include R&D expenditure for which no deduction is available for the income year.

If the company is part of an R&D group, the group must also meet the tax loss requirement and wage intensity threshold (s [MX 1](#)). An R&D group is a group where each member is a company, look-through company or limited partnership. All members must be in the same group of companies, determined as if the look-through companies (LTCs) and limited partnerships were treated as companies.

R&D expenditure

The definition of “R&D expenditure” provides that, for a person, it means expenditure incurred by the person for goods and services to the extent to which they relate to research or development and the intellectual property and know-how resulting from the research or development vests in the person, solely or jointly, but does not include:

- # expenditure for goods and services relating to a proscribed R&D activity in [Sch 22](#) (see below)
- # expenditure for goods and services used by the person to:
 - # provide research or development services to a person who is in the business of providing research or development services, or
 - # further another person’s research or development activities
 - # expenditure for which no deduction is available for the income year
 - # expenditure for or under a financial arrangement, and
 - # expenditure for the acquisition or transfer of intangible property, core technology, intellectual property or know-how.

Proscribed R&D activities

[Schedule 22](#) sets out the proscribed R&D activities. The exclusions are similar to the exclusions used for Callaghan Innovation’s business R&D grants and Statistics New Zealand/OECD guidance on how to measure R&D for statistical purposes (the Frascati Manual). The schedule lists the following activities:

- # An activity performed outside New Zealand.
- # Acquiring or disposing of land, and related activities, except if the land is used exclusively for housing research or development facilities.
- # Acquiring, disposing of, or transferring intangible property, core technology, intellectual property, or know-how, and related activities (for example, drafting sale and purchase agreements for patents).
- # Prospecting for, exploring for, or drilling for, minerals, petroleum, natural gas, or geothermal energy.
- # Research in social sciences, arts, or humanities.
- # Market research, market testing, market development, or sales promotion, including consumer surveys.
- # Quality control or routine testing of materials, products, devices, processes, or services.

- # Making cosmetic or stylistic changes to materials, products, devices, processes, or services.
- # Routine collection of information.
- # Commercial, legal and administrative aspects of patenting, licensing, or other activities.
- # Activities involved in complying with statutory requirements or standards.
- # Management studies or efficiency surveys.
- # Reproduction of a commercial product or process by a physical examination of an existing system or from plans, blueprints, detailed specifications, or publicly available information.
- # Pre-production activities, such as a demonstration of commercial viability, tooling-up, and trial runs.

Cashing out losses

An eligible company will be able to cash out tax losses generated from eligible R&D activities. The cash-out is delivered in the form of a refundable tax credit. Section [MX 4](#) provides that the amount cashed out is the lesser of the following amounts multiplied by the company tax rate:

- # the company's net losses for the year up to a maximum of \$500,000 in the 2015–16 tax year (ie a refund of up to \$140,000) increasing by \$300,000 each tax year up to a maximum of \$2 million in the 2020–21 and later tax years
- # the company's total R&D expenditure for the tax year, and
- # 1.5 times the company's total R&D labour expenditure for the tax year.

The tax losses cashed out are extinguished (s [MX 5](#)).

The calculation in s [MX 4](#) is based on the company tax rate, so s [MX 6](#) allows a company to claim a deduction for losses that had previously been cashed out at a lower company tax rate if the company tax rate increases.

Only the net loss for the relevant year is able to be cashed out, ie carried forward tax losses cannot be cashed out. Any net losses for a year that cannot be cashed out will be carried forward under the usual rules.

Example:

Amblack Ltd is a company carrying out R&D on a new variety of avocado that also tastes of lemon.

They have 2 senior plant researchers and a technician working full time on the project. In the 2016–17 tax year, Amblack Ltd had a net loss of \$600,000, spent \$425,000 on R&D, and the researchers and technician were paid \$245,000 in salary and wages for R&D.

The amounts under the 3 tests are:

\$600,000 (being less than the cap for 2016–17 of \$800,000) > \$425,000 > \$245,000 × 1.5 = \$367,500 each multiplied by the company tax rate of 0.28 for that year.

Amblack Ltd is eligible to receive a R&D loss tax credit of \$102,900 for that year (\$367,500 × 0.28).

Example adapted from *Tax Information Bulletin* [1283-103 Vol 28, No 3](#), April 2016 at 24.

Section [MX 6](#) creates a new deduction if the company tax rate increases after a tax loss has been cashed out. This ensures a company is not disadvantaged by electing to cash out a loss instead of carrying it forward if the corporate tax rate is subsequently increased (as an increase in the corporate tax rate will increase the amount of tax saved by any tax losses). The amount of the new deduction is essentially the difference between:

- # the amount of the cashed out tax losses that would still have been available when the tax rate increased, and
- # the amount of tax losses that would need to be cashed out at the new rate to produce the same tax credit as the above tax losses produced when cashed out at the old rate.

The amount of the deduction is calculated for each year in which an R&D loss tax credit was received using the formula:

$$\text{tax credits} \times (\text{new rate} \# \text{old rate}) \div (\text{new rate} \times \text{old rate})$$

where:

tax credits is the total amount of the company's R&D loss tax credits for years before the rate increases minus the total amount of:

the company's terminal tax, plus tax credits giving rise to imputation credits, minus refundable tax credits giving rise to imputation debits, for the period beginning with the first year a R&D loss tax credit was claimed and ending with the tax year before the current year, and
payments of R&D repayment tax (discussed below) relating to the R&D loss tax credits before the current year

new rate is the basic tax rate for a company after the rate increase

old rate is the greatest of:

the basic company tax rate before the rate increase
the basic company tax rate for the latest year, before the current year, for which the person received a previous deduction under s [MX 6](#), and
the basic company tax rate for the year in which the latest R&D loss tax credit arose (before the current year).

Example:

Hemantware Ltd researches new materials for sport shoes. The company cashes out \$800,000 of tax losses in the 2016–17 income year when the company tax rate is 0.28 to receive tax credits of \$224,000. The company tax rate changes to 0.30 for the 2017–18 tax year. Hemantware Ltd has a resulting deduction of \$53,333 [$\$224,000 \times (0.3 - 0.28) \div (0.3 - 0.28)$] for that year.

Example taken from *Tax Information Bulletin* [1283-103 Vol 28, No 3](#), April 2016 at 24.

Reinstatement of losses

A cashed-out loss can be thought of as an interest-free loan from the government to be repaid from the taxpayer's future income; it is intended to provide a temporary cashflow timing benefit when the company is in a tax loss position only. Repayment of cashed-out losses will occur when a taxpayer pays tax on taxable income that would have been sheltered by the cashed-out losses if they had been carried forward. However, if the company or shareholders make an untaxed return on their investment before having repaid the value of the cashed-out loss, this would lead to a concessionary outcome for the taxpayer unless it triggered the repayment of some cashed-out losses. Consequently, loss recovery rules are included in s [MX 7](#). These rules will recover the value of any remaining cashed-out loss by way of the payment of R&D repayment tax when one of the following trigger events occur:

the company:

disposes of or transfers intellectual property, core technology, intangible property or know-how (ie obtains a return on their R&D investment through sale of a resulting asset) other than to the amalgamated company on an amalgamation and other than for consideration that is assessable income of the company and has a value no less than the market value of the property transferred

becomes non-resident (for tax purposes), or

has a liquidator appointed, or

more than 90% of the company's shares have been disposed of since the company first cashed out R&D tax losses.

In the case of the disposal or transfer of R&D assets, the repayment tax is capped at the market value of the consideration for the disposal or transfer multiplied by the tax rate. That is, the R&D repayment tax is the lesser of any unrepaid R&D loss tax credits and the market value of the transferred assets (intangibles' market value), multiplied by the tax rate.

Similarly, if the trigger event is a disposal of the company's shares, the repayment tax is capped at the market value of the company's voting or market value interests disposed of or transferred since the first tax loss was cashed out, multiplied by the tax rate. However, if the company either becomes non-resident or has

a liquidator appointed, regardless of whether one of the other trigger events occurs in the same year, all of the cashed-out amounts must be repaid that year.

In all cases, the repayment amount is reduced by income tax paid by the company from the time the losses were cashed out. The payment of income tax is a repayment of the cashed-out amount, as the company does not have the use of losses that have been extinguished to set off against that income. No further repayments will be required if the company has already derived sufficient taxable income to repay the balance of the cashed-out amounts before one of the trigger events occurs.

The company is allowed a deduction under s [DV 26](#) for the amount of the repayment tax divided by the company tax rate. The deduction is allocated to the income year in which the person incurs the repayment tax.

Example:

Taylortronics Ltd is incorporated in May 2015 to develop new guidance systems for munitions. It cashes out losses of \$150,000 and \$300,000 for the 2015–16 and 2016–17 income years respectively. It receives tax credits of \$42,000 and \$84,000. It carries forward other losses of \$50,000. In the 2017–18 year the company enters a manufacturing phase, selling trading stock to earn net income of \$150,000. It has taxable income of \$100,000 and pays income tax of \$28,000. In the 2018–19 income year it sells know-how for \$250,000 (which is a capital receipt) and also has taxable income of \$80,000. The sale triggers a repayment event, because the receipt from the sale of the know-how was not assessable income for Taylortronics. Therefore, Taylortronics has to pay R&D repayment tax, as well as income tax of \$22,400. The repayment tax is the lesser of:

- # the market value of the R&D assets sold that year multiplied by the tax rate. This amount is \$70,000 [$\$250,000 \times 0.28$], and
- # the unrepaid R&D loss tax credits. This amount is \$75,600 [$\$42,000 + \$84,000 - \$28,000 - \$22,400$].

Therefore, Taylortronics pays R&D repayment tax of \$70,000.

In the 2019–20 income year the company has taxable income of \$150,000 and pays income tax of \$42,000. Unless Taylortronics cashes out further losses, no further repayments will be required from that time. R&D repayment tax and income tax payments made since the 2017–18 income year of \$162,400 [$\$28,000 + \$70,000 + \$22,400 + \$42,000$] exceed the \$126,000 [$\$42,000 + \$84,000$] of tax credits received for the 2015–16 and 2016–17 income years.

Example taken from *Tax Information Bulletin* [¶283-103 Vol 28, No 3](#), April 2016 at 25.

If there is a loss of continuity in the business and a liquidator is appointed and/or the company suffers a loss of eligibility, the loss of continuity does not give rise to R&D repayment tax. This is because the latter events require the balance of the R&D loss tax credit to be repaid in full as R&D repayment tax. The company will be liable for R&D repayment tax if the sale of intellectual property and a loss of business continuity occur in the same income year, as neither of these events may create a liability to repay the balance of the R&D loss tax credit in full. In the event of a loss of business continuity, all equity disposals and transfers from the year a credit was first taken up to and including the reinstatement year should be included in calculating R&D repayment tax.

Imputation

No credit balance will arise in an imputation credit account of a company that has cashed out a loss until that company has repaid the cashed-out amounts (whether through the normal payment of income tax or via R&D repayment tax). This is to maintain neutrality with taxpayers who are not able to cash out losses. However, cashing out a tax loss will not put a taxpayer's imputation credit account into a debit balance (s [OB 47B](#)).

Example:

R&D Biotics' imputation credit account has a zero balance at the beginning of the 2015–16 year. R&D Biotics cashes out losses of \$100,000 in the 2015–16 year and \$125,000 in 2016–17, receiving tax credits of \$28,000 and \$35,000 respectively. R&D Biotics pays no tax for these years. R&D Biotics pays income tax of \$22,400 in 2017–18 and \$35,000 in 2018–19. R&D Biotics will not have a credit balance in its imputation credit account for any of income years from 2015–16 to 2018–19 inclusive. This is because the amount cashed out has not been fully repaid by the end of the 2018–19 income year, with a balance of \$5,600 remaining. R&D Biotics earns \$150,000 in the 2019–20 income year and pays tax of \$42,000. It will therefore have a credit balance of \$36,400 for income tax paid for the 2019–20 income year (income tax of \$42,000 # loss cash-out balance of \$5,600).

Example taken from *Tax Information Bulletin* [¶283-103 Vol 28, No 3](#), April 2016 at 28.

Administration

Section [70C](#) of the TAA provides that a statement will have to be electronically filed for tax credits claimed for a tax year, as well as any R&D repayment tax that must be paid. The statement has to be filed no later than 30 days after the last day for filing the return. Any R&D repayment tax owing is due on the terminal tax date for the relevant tax year. The Commissioner is able to make an assessment of R&D repayment tax under s [97C](#) of the TAA.

The R&D initiative is the joint responsibility of IR and the Ministry of Business, Innovation and Employment (MBIE), so the Commissioner has information sharing powers with MBIE for these purposes. In addition, IR will use the Crown agency Callaghan Innovation expertise to help build capability to assess R&D expenditure and eligibility, and therefore also has such information sharing powers with Callaghan Innovation.

Interpretation statement

Interpretation statement, [IS 23/09](#) “Research and development loss tax credits” provides guidance on who is eligible for research and development loss tax credits (Part [1](#)) and a company’s obligations once it is eligible for the R&D loss tax credit (Part [2](#)). The statement reminds taxpayers that the R&D loss tax credit is different from the research and development tax credit (RDTI) ([¶11-150](#)), which has different qualifying criteria. A company can be eligible for one or both regimes.

Part [1](#) of [IS 23/09](#) covers some key areas of uncertainty, being:

- # what “research” and “development” means for the R&D loss tax credit
- # how the eligibility criteria apply to R&D groups
- # what is included in the wage intensity calculation, and
- # what qualifies as R&D expenditure.

What “research” and “development” means for the R&D loss tax credit

These rules adopt the definitions of “research” and “development” in New Zealand equivalent to international accounting standard 38 intangible assets (NZ IAS 38). Although these definitions apply, a company does not need to report under the IFRS accounting rules, or have adopted NZ IAS 38, in order to claim an R&D loss tax credit. However, whether a company applies NZ IAS 38 for financial reporting purposes may impact its ability to deduct R&D expenditure and therefore the amount of any net loss and ability to include the expenditure as R&D expenditure may be affected.

The RDTI regime has its own definitions of “research and development activity” which are contained in s [LY 2](#) ([¶11-150](#)).

The interpretation statement has detailed analysis. See [IS 23/09](#) from [22] onwards.

R&D groups and eligibility

It is important for a company to determine whether it is a member of an R&D group and who the other members of that group are. This is because grouping can affect a company’s ability to claim the R&D tax loss credit, or the amount of the credit it is eligible for. If there is an R&D group, the:

- # wage intensity calculation must be satisfied for the R&D group, and
- # the R&D group must have a net loss position.

A company is not required to elect in, or out, for the R&D group rules to apply. If a company is in a group of companies, then it is simply a member of an R&D group. The R&D group includes other entities such as a look-through company (LTC) and a limited partnership that must satisfy the same common voting interest thresholds. In other words, the entity is treated as if it were a company for the purpose of the R&D tax loss credit grouping rules.

The interpretation statement has detailed analysis. See [IS 23/09](#) from [42] onwards.

Wage intensity calculation analysis

As discussed above, in order to claim the R&D loss tax credit, a company is required to satisfy the 20% wage intensity criteria. That is 20% of a company's total labour expenditure must be spent on R&D labour. If the company is part of an R&D group, the combined wage expenditure is required to meet the 20% threshold. The wage intensity calculation is only relevant for determining eligibility to claim the R&D loss tax credit. It does not matter if the wage expenditure is not deductible, for example, the wages are paid from a grant or subsidy, the wages are still included in the calculation.

Amounts that must be included in total R&D labour expenditure are:

- # salary and wages paid to employees for providing R&D material
- # amounts paid to shareholder–employees for providing R&D material (the company cannot use a notional amount representing the market value of services provided by the shareholder–employee), and
- # the total amount of contractor R&D consideration multiplied by 0.66.

The interpretation statement has detailed analysis. See [IS 23/09](#) from [56] onwards.

Qualifying R&D expenditure

Unlike for the RDTI, no particular amount of R&D expenditure is required for a company to be eligible for the R&D loss tax credit.

R&D expenditure is expenditure the company incurs on goods and services to the extent it relates to research or development. In addition, the resulting intellectual property and know-how must vest in the company, solely or jointly. R&D expenditure excludes expenditure that:

- # relates to an excluded activity described in Sch 22
- # is spent on goods and services used to provide a service of research or development to another person, or that furthers another person's R&D activities
- # is not deductible in the income year
- # relates to a financial arrangement (such as interest), or
- # is for the acquisition or transfer of intangible property, core technology, intellectual property or know-how.

The interpretation statement has detailed analysis. See [IS 23/09](#) from [85] onwards.

Obligations once the tax credit has been claimed

The interpretation statement covers the R&D statement filing required by a company under this regime (see discussion above). In addition, when the credit is calculated, the company will have some or all of its net loss extinguished. The loss is extinguished because it has been cashed out, or converted, by claiming the credit.

There is an obligation on companies to repay the tax credit received. Certain events may inadvertently trigger repayment; therefore, taxpayers need to be aware of their obligations when entering the regime. The interpretation statement covers the early repayment, or “loss recovery events”, including:

- # the company disposes of or transfers intangible property, core technology, intellectual property or know-how for less than market value, and/or where the amount is not assessable income of the company
- # the company is no longer New Zealand resident
- # a liquidator is appointed, or
- # the required shareholder continuity is lost.

The general repayment obligation is that as the company pays tax on income, this is treated as a repayment of the R&D loss tax credit.

Example: Repay R&D loss tax credit by payments of income tax

R&D Co claims an R&D loss tax credit for the 2020 income year of \$79,800. This results in the extinguishment of all its 2020 net loss of \$285,000. R&D Co has no losses carried forward from prior years. In the 2021 income year R&D Co has taxable income of \$100,000. R&D Co has no losses available to offset against its income as its previous losses were cashed out and extinguished. Accordingly, R&D Co has tax to pay of \$28,000 ($\$100,000 \times 28\%$). In the following income year R&D Co has taxable income of \$200,000. R&D Co has no losses available and has tax to pay of \$56,000 ($\$200,000 \times 28\%$). At the end of the 2022 income year R&D Co has repaid the R&D loss tax credit claimed (\$79,800) through the payment of income tax of an equal amount \$79,800 ($\$28,000 + \$51,800$). R&D Co has fully repaid the R&D loss tax credits.

Example reproduced from [IS 23/09](#), “Research and development loss tax credits” (*Tax Information Bulletin*, [13511-103 Vol 35, No 11](#) December 2023 at 43)

The interpretation statement has detailed analysis. See [IS 23/09](#) from [124] onwards.

Law: IT07 subpart [MX](#), ss [DV 26](#), [LA 7\(1\)\(ab\)](#), [LB 4B](#), [OB 47B](#), [YA 1](#) (“[R&D expenditure](#)”, “[R&D group](#)”, “[R&D loss tax credit](#)”, “[R&D material](#)”, “[R&D repayment tax](#)”), [Sch 22](#); TAA ss [70C](#), [97C](#)

Last reviewed on 31 December 2025

Research and development tax credit [¶11-150]

[¶11-150]

[Click to open document in a browser](#)

Note: The Taxation (Annual Rates for 2025#26, Compliance Simplification, and Remedial Measures) Bill proposes the following amendments to the RDTI regime:

- # for businesses with a September balance date, the due date for the RDTI general approval applications to be extended to 15 January following the end of the income year
- # align how partnerships with non-standard balance dates return income with the method for applying for the RDTI where partnerships with an RDTI credit for a given income year would be required to apportion income according to the partners' balance date when returning partnership income for that year.

Subpart [LY](#) of the IT07 provides for a research and development tax credit (R&D tax credit) of 15% of eligible expenditure. The purpose of the R&D tax credit is to provide a tax credit as an incentive to a person for performing, or contracting for the performance of, activities to create new knowledge, or new or improved processes, services or goods. It is also intended to ensure that activities do not inappropriately qualify for R&D tax credits.

The regime, as originally enacted, is discussed in detail in *Tax Information Bulletin* [¶319-102 Vol 31, No 9](#), October 2019 at 3–50. Included in this text are some examples, but not all.

IR guidance [IR1240](#), “Research and development tax incentive: Guidance” (December 2025) covers all aspects of the R&D tax credit. The Guidance has been updated to include materials relating to the changes made to the R&D regime, including the introduction of the broader refundability rules. It reiterates the policy intent from the Tax Information Bulletin and includes the latest news on the operational design, including a PDF of screens from the R&D Tax Incentive supplementary return.

R&D has a specific statutory definition for the purposes of tax credit which is not the same as the commercial, engineering or accounting definitions. The tax credit is not just for scientific research but also for development activity that meets the eligibility criteria.

Eligibility criteria

Section [LY 3](#) provides the general criteria a person must satisfy to be eligible for R&D tax credits. These criteria are in addition to the requirements that a person's activities must be R&D activities and their expenditure must be eligible (discussed below).

The general criteria require a person, or a joint venture of which the person is a member, to:

- # perform a core R&D activity in New Zealand, either themselves or through an R&D contractor who carries on business in New Zealand through a fixed establishment in New Zealand, and
- # carry on a business in New Zealand through a fixed establishment in New Zealand (or be a levy body researcher, ie an industry organisation to which a levy is payable under New Zealand statute).

Note that, before 1 April 2020, the criteria included a “non-business researcher”, which was defined similarly to a “[levy body researcher](#)” but also included a tax charity.

In addition, either:

- # the person, or a member of the person's corporate group resident in New Zealand or in a jurisdiction with which New Zealand has a double tax agreement, or a joint venture of which the person is a member, must own the results of the relevant R&D activities, or
- # the person or a joint venture of which the person is a member may use the results for no further consideration.

For the 2020–21 and later income years, the person must have approval under the general approval process or opt into the significant performer regime (discussed below).

Ineligible persons

A person is excluded from the R&D tax credit regime for an income year if they:

- # fail to file an income tax return within one year of the latest date for them to file their return
- # receive a Callaghan Innovation Growth Grant, or they are directly or indirectly controlled by, or associated with, a recipient of such a grant
- # are an R&D contractor for another person in relation to the relevant R&D activity and that other person carries on business in New Zealand through a fixed establishment in New Zealand
- # are, or are associated with or controlled by, a Crown research institute, district health board, tertiary education organisation (including a foreign tertiary education organisation) or Callaghan Innovation
- # are a member of a joint venture or a partner in a partnership or an owner of an LTC, and they are not a New Zealand resident for the relevant tax year, or
- # from 1 April 2020, are not a levy body researcher and derive exempt income under any of s [CW 38](#) (Public authorities), [CW 39](#) (Local authorities), [CW 40](#) (Local and regional promotion bodies), [CW 41](#) (Charities: Non-business income), [CW 42](#) (Charities: Business income) or [CW 55BA](#) (Tertiary education institutions and subsidiaries).

Note that most entities that derive tax exempt income were initially eligible for the R&D tax credit but were made ineligible from the 2020–21 income year. Any credits received by these entities in the 2019–20 income year were not able to be carried forward to the 2020–21 income year and were instead extinguished (s [LY 8\(2B\)](#)). This applied to a person satisfying the last bullet point above, ie a person (other than a levy body researcher) who derived exempt income under any of the specified provisions of the IT07.

R&D activities

Core R&D activities

R&D activities are defined to mean an activity that is a core R&D activity or a supporting R&D activity.

A core R&D activity is defined as an activity that:

- # is conducted using a systematic approach
- # has a material purpose of creating new knowledge, or new or improved, processes, services, or goods, and
- # has a material purpose of resolving scientific or technological uncertainty.

In practice this has raised a number of questions. IR have given detailed guidance on what is viewed as “scientific or technological uncertainty” along with practical examples for the purposes of the R&D tax credit, see IR guidance [IR1240](#) at 31–37.

Excluded core activities

However, an activity is excluded if the knowledge required to resolve the scientific or technological uncertainty is publicly available or deducible by a competent professional working in the relevant scientific or technological field. See above.

An activity is also excluded to the extent it is performed outside New Zealand or it is included in [Sch 21 pt A](#) of the IT07.

Supporting R&D activity

A supporting R&D activity is defined as an activity that has the only or main purpose of, is required for, and integral to, conducting a person’s core R&D activity, but does not include an activity to the extent to which it is included in [Sch 21 pt B](#).

The Commissioner has stated the following on the level of support required:

Mainly requires that the major purpose of a supporting activity is to support the core R&D activity. If the supporting activity is routinely carried out for another purpose, it is unlikely that its main purpose is to support the core R&D.

Required for means a supporting activity must only be to the degree necessary to support the core activity.

Integral to means that a supporting activity must be necessary to the core activity. That is, the core activity could not be performed or completed without the supporting activity.

Schedule 21 exclusions

[Schedule 21](#) excludes certain activities from the core and supporting activity definitions. The table below summarises the exclusions and whether they apply to core and supporting activities.

Activity exclusion	Core	Supporting
Preproduction activities, including demonstration of commercial viability and tooling up.	Excluded	
Routine de-bugging of existing computer software.	Excluded	
Supporting or making minor improvements to existing computer software, using known methods.	Excluded	
Routine software and computer maintenance.	Excluded	
Market research, market testing, market development or sales promotion, including consumer surveys.	Excluded	
Commercial, legal, or administrative aspects of patenting, licensing, or other similar activities.	Excluded	
Activities involved in complying with statutory requirements or standards for pre-existing processes, services, or goods.	Excluded	
Activities involved in complying with statutory requirements or standards for new processes, services, or goods.	Excluded	Included
Management studies.	Excluded	
Activities relating to organisational design.	Excluded	
Ineligible internal software development (discussed below).	Excluded	
Research in social sciences, arts, or humanities.	Excluded	Included
Quality control or routine testing of processes, services, or goods.	Excluded	Included
Routine collection of information.	Excluded	Included
Minor adaption of, or improvement to, existing processes, services, or goods.	Excluded	Included
Testing.	Excluded	Included
Converting existing systems to, or integrating existing systems with, new software platforms.	Excluded	Included
Making cosmetic or stylistic changes to processes, services or goods.	Excluded	Included
Reproduction of a commercial product or process by a physical examination of an existing product or system, or from plans, blueprints, detailed specifications, or publicly available information.	Excluded	Included
Carrying out routine operations on data, including presentation of data.	Excluded	Included
If s 68CB of the Tax Administration Act 1994 applies, an activity that has not been approved by the Commissioner under that section. (Note that this exclusion from being a supporting activity applies for the 2020–21 and later income years.)	Excluded	

The Governor-General has the ability to make changes to [Sch 21](#) on the joint recommendation of the Minister of Revenue and the Minister of Research, Science and Innovation. Any additions or removals by Orders in Council apply for the income year corresponding to the tax year after the tax year in which the order is made. Orders in Council will also expire 3 years after the last day of the tax year that the order first applies for.

Ineligible internal software development

Certain internal software development activities are excluded from eligibility for the tax credit, while the remainder are subject to a cap on expenditure. The excluded activities are defined as “ineligible internal software development” as follows:

- # software development for the purpose of the internal administration of a person's business or an associate's business, but
- # does not include software development if and to the extent to which:
 - # it is for the main purpose of disposing of the software or a right to use the software to non-associated recipients
 - # the software is an integral part of goods that the person disposes of in the ordinary course of business, or
 - # the software is developed for the purpose of providing services, and the main reason why the recipients use the services is not the use of the person's computer technology or software itself, but rather the services.

Thus, software development of systems for internal administration matters, such as payroll, accounting, human resources, invoicing, etc, for use in the person's, or an associate's, business will be excluded (effectively capped at \$0). Other expenditure on internal software development will be capped (discussed below).

Eligible R&D expenditure

Eligible R&D expenditure is defined as expenditure or loss described in [Sch 21B pt A](#) if, for the income year, the expenditure or loss—

- # directly relates to an R&D activity, and
- # is required for an R&D activity, and
- # is integral to an R&D activity,

but it does not include expenditure or loss included in [Sch 21B pt B](#) or expenditure or loss subject to the commercial production rule (discussed below). From 1 April 2020, expenditure on supporting activities that arises one year before or after the relevant core activity R&D expenditure eligible under s [LY 5](#).

The “directly relates to” requirement clarifies that expenditure must have a direct connection to an R&D activity to be eligible. A person must make a reasonable assessment of whether their expenditure has a sufficiently close connection to R&D to be eligible. If the expenditure relates to an R&D activity, but also relates to another purpose, the expenditure must be apportioned accordingly. The “required for” requirement clarifies that expenditure is only eligible to the degree it is necessary to support an R&D activity. The “integral to” requirement clarifies that expenditure must be essential to an R&D activity to be eligible. That is, the activity could not be performed or completed without the expenditure.

Schedule 21B expenditure

Part A of [Sch 21B](#) provides that only the following expenditure or loss, to the extent the expenditure is incurred on R&D, is eligible for R&D tax credits:

- # depreciation loss and amounts deductible under s [DI 5](#) for items used in performing R&D activities

expenditure or loss on acquiring non-depreciable goods and services (including amounts deductible under ss [DB 49](#), [DB 50](#) and [DI 5](#)) that relate to performing an R&D activity (adjusted for the unused portion of prepaid expenditure), and
 # amounts for employees that relates to performing an R&D activity.

Part B of [Sch 21B](#) provides that the following expenditure or loss is ineligible for R&D tax credits:

amounts incurred by a person and their associates on R&D to the extent the amounts exceed \$120 million or their approved R&D cap (discussed below)
 # expenditure incurred in acquiring property that is depreciable property or that would be depreciable in the absence of an election to treat it as non-depreciable under s [EE 8](#), but ignoring expenditure incurred in making the property
 # expenditure, other than amounts for employees or contractor labour for core R&D activities, to the extent it contributes to the cost of tangible depreciable property or tangible property that would be depreciable in the absence of an election under s [EE 8](#), but ignoring expenditure if the property is used solely in performing an R&D activity, is intended to be used in the future solely in performing an R&D activity, and is for a core R&D activity
 # expenditure, other than amounts for employees or contractor labour for core R&D activities, incurred by—
 # a petroleum miner
 # a mineral miner
 # a person that would be a mineral miner if geothermal energy and all minerals were included in the listed industrial minerals in s [CU 8](#),

but ignoring expenditure to the extent it contributes to the cost of tangible depreciable property if the property is used solely in performing an R&D activity, is intended to be used in the future solely in performing an R&D activity, and is for a core R&D activity
 # depreciation loss for depreciable property to the extent to which the item's cost is eligible R&D expenditure
 # depreciation loss on items in a pool of depreciable property where an item in the pool is not used solely in performing an R&D activity
 # depreciation loss arising from an asset being written off or sold below its adjusted tax value
 # certain amounts of depreciation loss on assets acquired from associates
 # profits on R&D services and property provided by associates
 # amounts in excess of market value for leasing property from associates
 # expenditure to acquire land
 # interest and other financing costs
 # expenditure in determining whether a person qualifies for R&D tax credits
 # expenditure incurred in performing corporate governance activities
 # expenditure to purchase, lease or acquire an interest in intangible property other than software
 # expenditure to purchase, lease or otherwise acquire bespoke or customised software, or software not widely commercially available
 # internal software development expenditure incurred by a person and their associates, to the extent it exceeds \$25 million
 # expenditure on goods or services to the extent it exceeds the market value of the goods or services
 # gifts
 # expenditure incurred to acquire the right to use technology upon which a core R&D activity is based
 # expenditure on plant, machinery or materials to commercialise the results of an R&D activity
 # expenditure incurred in decommissioning
 # expenditure incurred in remediating land
 # expenditure that is a precondition to, subject to the terms of, or required by, a government or local authority grant, but excluding expenditure funded through a loan made under the R&D loan scheme and an amount related to a Callaghan Innovation project grant, or an amount spent by a recipient of a New to R&D Grant, to the extent it exceeds the estimated cost of the project

- # expenditure on inputs used, or subject to a process or transformation, to the extent the expenditure does not exceed the value of the output from that expenditure (feedstock rule)
- # expenditure for which a person has received an R&D tax credit from another country, and
- # if a person's eligible expenditure is less than \$50,000, expenditure or loss under \$50,000 that is not for an approved research provider to perform an R&D activity on behalf of the person.

The Governor-General has the ability to make changes to [Sch 21B](#) on the joint recommendation of the Minister of Revenue and the Minister of Research, Science and Innovation. Any additions or removals by Orders in Council apply for the income year corresponding to the tax year after the tax year in which the order is made. Orders in Council will also expire 3 years after the last day of the tax year that the order first applies for.

R&D activities performed in commercial production

An alternate apportionment rule applies to expenditure incurred on R&D activities performed in the course of commercial production. If the R&D activity is performed in the course of commercial production and is not in relation to an employee's contribution to an R&D activity, only expenditure or loss that would not have been incurred in the absence of the R&D activity will be eligible R&D expenditure. This rule is necessary to prevent business as usual expenditure being recharacterised as R&D expenditure. The rule does not apply to employee expenditure incurred on R&D activities performed in the course of commercial production. A person can apportion expenditure on employees who perform both business as usual and R&D functions.

Example: Activity in the course of commercial production

JJ Co produces spa baths. The company makes improvements to its production line to try and make its water jets more energy efficient. The improved water jets are produced alongside the company's regular water jets, and all of them are sold. JJ Co's R&D activity occurs in the course of commercial production, because the more energy efficient jets are produced alongside its normal production.

Example: Activity not in the course of commercial production

WindFuel produces sails for yachts. WindFuel is seeking to produce the world's lightest and strongest sail for use in the America's Cup. Between 9am and 5pm WindFuel produces its regular sails. From 5pm to 7pm the production line is dedicated to producing the new sails. These new sails will not be sold. WindFuel's R&D activity is separate from its regular production line and the R&D activity itself is not commercial production because the sails will not be sold. The R&D activity does not take place in the course of commercial production, so the "to the extent" test applies instead of the commercial production rule.

Contracted expenditure

Where a person pays an R&D contractor to perform R&D activities on their behalf, the following formula calculates the person's eligible expenditure:

$$\text{contract amount} - \text{ineligible expenditure}$$

where:

contract amount is the amount of consideration paid or payable by the person to a contractor to perform R&D activities

ineligible expenditure is the expenditure that would be the R&D contractor's ineligible expenditure if the contractor were claiming the tax credits.

An R&D contractor is a person who performs an R&D activity on behalf of another person, but does not include an industry organisation to which a levy is payable under a New Zealand statute.

Example: Contracted expenditure

Richard's Rice Ltd is the largest producer of rice in New Zealand. Richard's Rice Ltd is thinking of branching into desserts, and contracts Steph to produce rice that tastes like chocolate.

Richard's Rice Ltd pays Steph \$1 million to develop chocolate rice. Steph incurs \$120,000 of expenditure that is ineligible under s [LY 5](#).

Richard's Rice Ltd has the following eligible expenditure:

$$\$1,000,000 - \$120,000 = \$880,000$$

Example taken from the Commentary to the Taxation (Research and Development Tax Credits) Bill

Note that if an amount of contracted R&D expenditure is also foreign R&D expenditure, the foreign R&D expenditure rules will apply to determine the amount of eligible expenditure.

Foreign R&D expenditure

Foreign R&D expenditure is defined as expenditure or loss that is:

- # incurred on supporting R&D activities performed outside New Zealand
- # a payment of salary or wages to a non-resident person for activities performed in New Zealand, or
- # a payment for services performed by a non-resident person in New Zealand.

Eligible expenditure includes foreign R&D expenditure equal to the lesser of the person's actual overseas expenditure and their capped overseas expenditure.

A person's actual overseas expenditure is calculated using the formula:

$$\text{contract amount} - \text{ineligible expenditure} + \text{foreign in-house amount}$$

where:

contract amount is the amount paid to foreign contractors to perform R&D activities on a person's behalf

ineligible expenditure is the expenditure that would be the foreign contractor's ineligible expenditure if they were the one claiming the tax credits

foreign in-house amount is the foreign R&D expenditure incurred by a person on activities performed overseas that are not amounts paid to a foreign contractor.

A person's capped overseas expenditure is calculated using the formula:

$$0.1 \times \text{total NZ R\&D expenditure} \div 0.9$$

where:

total NZ R&D expenditure is a person's total eligible expenditure less any amounts of foreign R&D expenditure.

Example: How foreign R&D expenditure is calculated

A Co, a pharmaceutical company developing a cure for atrial fibrillation, incurs the following expenditure:

- # \$500,000 on researchers in New Zealand
- # \$100,000 on a non-resident researcher helping the team in New Zealand
- # \$200,000 conducting clinical trials overseas. \$50,000 of this expense is ineligible as it relates to purchasing depreciable property.

Amount spent on foreign R&D = \$250,000 (made up of the expenses on the non-resident researcher, and the eligible portion of the expenses relating to the clinical trials).

The firm's capped expenditure = $0.1 \times 500,000 \div 0.9 = \$55,556$. This equates to 10% of their total eligible expenditure ie $\$55,556 \div 55,556 = 0.1$

The firm's eligible foreign expenditure = \$55,556, which is the lesser of the amount the firm spent on foreign R&D (\$250,000) and the capped amount (\$55,556).

Internal software development excluded or capped

As stated above, "ineligible internal software development" (being software development for the purpose of the internal administration of the person's, or an associate's, business) is an excluded activity and not eligible

for the R&D tax credit. Other internal software development expenditure is only eligible up to a maximum of \$25 million.

Internal software development expenditure is defined as expenditure incurred on developing software.

It does not include such expenditure if:

- # the person's main purpose is to dispose of the software, or a right to use the software, to non-associated third parties
- # the software is an integral part of goods the person disposes of in the ordinary course of business, or
- # the expenditure is for ineligible internal software development.

GST-related adjustments

A person's eligible expenditure is adjusted for GST in accordance with s [DB 2](#) of the IT07 ([¶10-497](#)).

Example: GST input credit excluded from cost for R&D purposes

Alison purchases \$10,000 of oil for use in her R&D activities. As Alison is GST registered, she claims a GST input tax credit of \$1,304.34, which is refunded to her by IR. Alison's eligible R&D expenditure is \$8,695.66.

Example: GST adjustment deducted from eligible expenditure

James purchased \$20,000 worth of oil. He intended to only use 2/3 of the oil in his R&D process and take 1/3 home for private use. In the end, James used all the oil in his R&D process.

James originally claimed GST of \$1,739 (2/3 of \$2,609). Because James used all the oil, he makes an adjustment to claim the remaining GST of \$870.

When James files his tax return and claims his R&D tax credit, the extra \$870 must be deducted off his eligible expenditure to reflect that the true cost of the oil to his R&D was \$17,391.

Calculating the tax credit

A person's R&D tax credit for a tax year is calculated as 15% of their total eligible R&D expenditure, subject to a minimum threshold and expenditure cap.

Minimum threshold

A person is only eligible for an R&D tax credit if they have at least \$50,000 of eligible expenditure, or they have approved research provider (see below) expenditure. If a person does not satisfy the \$50,000 threshold but has approved research provider expenditure, they are restricted to only claiming a credit in relation to their approved research provider expenditure.

Example: The minimum threshold and approved research providers

Hannah spends \$10,000 on R&D. She also spends \$25,000 for an approved research provider to undertake R&D on her behalf. Only \$20,000 of this expenditure is eligible, once the ineligible expenditure of the approved research provider is taken out.

Hannah may claim the \$20,000 expenditure in relation to the approved research provider performing R&D on her behalf, but not the \$10,000 on performing R&D herself, as her total eligible expenditure is only \$30,000, which is under \$50,000.

For members of a joint venture, partners in partnership and owners of LTCs, the minimum threshold can be satisfied by assessing the total eligible expenditure of the joint venture, partnership or LTC as a whole.

Example: Partners with less than \$50,000 of eligible expenditure

Emma and Luke are in partnership together. Emma has \$20,000 of eligible expenditure, and Luke has \$35,000 of eligible expenditure. Individually, Emma and Luke are unable to satisfy the minimum threshold. Since they are in partnership, their expenditure can be grouped (s [LY 4\(1\)](#)). As a result, Emma and Luke are able to satisfy the \$50,000 minimum threshold.

Example taken from the Commentary to the Taxation (Research and Development Tax Credits) Bill

Expenditure cap

A cap of \$120 million applies to a person's total eligible R&D expenditure, so that the maximum credit available in any year is \$18 million. In addition, the capped figure includes expenditure claimed by the person's associates, so that the combined claim of a person and their associates is limited to \$120 million ([Sch 21B pt B cl 1](#)).

Approved R&D cap

Taxpayers who expect to have more than \$120 million of eligible expenditure in an income year may apply under s [68CD](#) of the TAA for the Commissioner to approve a cap in excess of \$120 million (an approved R&D cap). An application for an approved R&D cap must be made on or before the 7th day of the second month after the end of the income year (eg for a business whose income year ended on 31 March 2021, the application must be filed by 7 May 2021). The Commissioner cannot approve an approved R&D cap unless the relevant R&D activities give rise to a substantial net benefit for New Zealand and the Commissioner has first consulted with the chief executive of the Ministry of Business, Innovation and Employment.

The information that is likely to be required to demonstrate a substantial net benefit for New Zealand includes:

- # impacts on New Zealand-based economic activity
- # impacts on job opportunities and skills of New Zealanders
- # enhancements to market competition, efficiency, productivity, and service levels in New Zealand
- # wider benefits to New Zealand, and
- # the durability and sustainability of the benefits to New Zealand.

A person is prevented from challenging the Commissioner's decision in relation to approving a cap in excess of \$120 million.

Claiming the tax credit

A person entitled to an R&D tax credit must file an R&D supplementary return for a tax year in a prescribed electronic format on or before the day that is 30 days after the due date they are required to file their income tax return for the tax year (or would be if they had assessable income) (s [33E](#) of the TAA).

The Commissioner must prescribe one or more electronic formats in which an R&D supplementary return must be filed. The Commissioner may also set specifications for software for use in pre-populating the R&D supplementary return. Section [36BE](#) of the TAA. Applications are made through the taxpayer's MyIR portal.

Deadlines for filing and amending assessments

A taxpayer's ability to retrospectively claim an R&D tax credit is limited.

A taxpayer must file their income tax return within one year after the due date for filing if they wish to claim an R&D tax credit.

The Commissioner may not increase the amount of a person's R&D tax credit after one year from the due date of the person's tax income tax return, except if the increase is to take account of a notice of proposed adjustment (NOPA) or a request under s [113](#), in either case initiated by the taxpayer in accordance with s [113E](#).

Under s [113E](#), a person may only issue one NOPA in relation to an increase in a person's R&D tax credit for a tax year before the earlier of 4 months after filing their income tax return for the year and one year after the due date to provide the return. In the case of a request under s [113](#), a person may only make one request within one year after the due date to provide an income tax return for the year.

A person is prevented from filing a NOPA or making a request under s [113](#) if they have not filed an R&D supplementary return within the time allowed under s [33E](#).

Excess R&D tax credits

If a person's R&D tax credit is more than the person's outstanding tax liability, the person may be able to obtain a refund of those credits or be able to carry them forward.

Refundability rules

Under the refundability rules, loss-making businesses (or businesses with insufficient income tax to pay to offset their R&D tax credits against) can be eligible for R&D tax credit refunds provided they are eligible for the tax credit more generally. The amount of R&D tax credits that may be refunded is subject to a labour-related tax cap.

When a claimant is unable to offset all of their R&D tax credits against their income tax liability, the maximum amount of refundable R&D tax credits the person may claim in an income year is the lesser of:

- # the amount of PAYE, fringe benefit tax (FBT) and employer superannuation contribution tax (ESCT) paid by the person for the relevant income year, and
- # the amount of R&D tax credits claimed by the person.

The refundability cap does not apply to refundable R&D tax credits paid to levy body researchers or derived from eligible expenditure on approved research providers.

Example: Insufficient payroll taxes paid to refund all credits

In the year ended 31 March 2022, Bags & Archie Ltd (BAL) has eligible R&D expenditure of \$1,000,000, so is eligible for \$150,000 of R&D tax credits. BAL has no income tax liability to offset its R&D tax credits against.

BAL has 5 full-time employees and has paid a total of \$100,000 in PAYE, ESCT and FBT for these employees. BAL is only able to receive an R&D tax credit refund of \$100,000, because its R&D tax credits are more than its total of relevant taxes paid for the year. Its remaining \$50,000 of R&D tax credits must be carried forward to the 2022–23 income year.

Bags & Archie Ltd – 31 March 2022	
Eligible R&D expenditure	\$1,000,000
	× 15%
R&D tax credits claimed	\$150,000
Income tax liability	\$0
Remaining R&D tax credits*	\$150,000
Total PAYE, ESCT and FBT paid	\$100,000
Remaining R&D tax credits*	\$150,000
R&D tax credits refunded	\$100,000
R&D tax credits carried forward to 2022–23	\$50,000

*After offsetting against income tax payable.

Example adapted from the Commentary to the Taxation (KiwiSaver, Student Loans, and Remedial Matters) Bill

The refundability cap includes PAYE, ESCT and FBT allocated to the claimant that have been paid by other companies either in the same wholly-owned group or that directly or indirectly control the claimant.

Sections LA 5(5B) and (5C) provide the formula for calculating the refundability cap:

own tax + other wholly-owned tax + other controller tax – double dip allocation

where:

own tax is the total PAYE, ESCT and FBT paid by a claimant for the relevant tax year to the extent to which it has not been allocated to another claimant

other wholly-owned tax is zero or, if the claimant is a company and a member of a wholly-owned group of companies, the amount of PAYE, ESCT and FBT paid by members of the claimant's wholly-owned group and allocated to the claimant for the relevant tax year

other controller tax is zero or, if the claimant is a company, the amount of PAYE, ESCT and FBT paid by companies that control the claimant and allocated to the claimant for the relevant tax year, and

double-dip allocation is the amount allocated to the claimant that has already been allocated to another person for the purposes of calculating their refundability cap for the tax year.

Any non-refundable R&D tax credits will be able to be carried forward to the next income year provided the continuity requirements in s [LY 8](#) are met.

Example: R&D company controlled by another company

R&D Co is an R&D-intensive firm that is eligible for \$300,000 of R&D tax credits in the 2021–22 income year. R&D Co is in a tax loss position, so does not have any income tax liability to offset its R&D tax credits against.

R&D Co pays \$50,000 of PAYE, ESCT and FBT for the 2021–22 income year. The \$50,000 is considered "own tax" for the purposes of the formula.

R&D Co is in the same wholly-owned group as B Co. B Co pays PAYE, ESCT and FBT of \$200,000 in the 2021–22 income year. B Co allocates \$100,000 of this amount to R&D Co for the purposes of calculating R&D Co's refundability cap. B Co does not allocate the PAYE, ESCT and FBT amount to any other companies, and does not use the \$100,000 for the purposes of calculating its own refundability cap. The \$100,000 is considered "other wholly-owned tax" for the purposes of the formula.

R&D Co is controlled by A Co, which owns 65% of the shares in R&D Co. A Co pays PAYE, ESCT and FBT of \$100,000 for the 2021–22 income year. A Co does not claim any R&D tax credits in the 2021–22 income year, so it decides to allocate all of its PAYE, ESCT and FBT (\$100,000) to R&D Co for the purposes of calculating R&D Co's refundability cap. A Co does not allocate its PAYE, ESCT and FBT to any other companies. The \$100,000 is considered "other controller tax" for the purposes of the formula.

In summary, R&D Co's refundability cap is made up of these amounts:

- # Own tax: \$50,000.
- # Other wholly-owned tax: \$100,000.
- # Other controller tax: \$100,000.
- # Double dip allocation: \$0.

Applying the formula:

$$\$50,000 + \$100,000 + \$100,000 + \$0 = \$250,000$$

Since R&D Co has a refundability cap of \$250,000, it can obtain an R&D tax credit refund for \$250,000 of its credits. Its remaining \$50,000 of R&D tax credits are non-refundable in the 2021–22 income year. R&D Co can carry its non-refundable credits forward to the 2022–23 income year provided it satisfies the R&D tax credit continuity requirements.

Example adapted from the Commentary to the Taxation (KiwiSaver, Student Loans, and Remedial Matters) Bill.

Carrying forward tax credits

A person's R&D tax credits that are not refunded under s [LA 5\(4B\)](#) may be carried forward to the following year. If the person is a company, the company must meet the continuity requirements to carry forward the tax credits. The continuity requirements are the same as the current requirement to carry forward losses ([¶18-023](#) and [¶18-035](#)), ie the shareholder continuity requirement means there must be a 49% shareholder continuity from the beginning of the year in which the R&D tax credits arise to the end of the year the credits are carried forward to, or for the 2020–21 and later income years, if the shareholder continuity test is breached, the business continuity test requires that there has been no major change in the business activities of the company. Part-year continuity rules similar to those applying to tax losses ([¶18-025](#)) also apply to allow credits to be carried forward when continuity is breached during the year.

R&D tax credits that are carried forward are used before credits from the current year. This minimises the potential credit loss following a shareholding change.

Anti-avoidance rule

An anti-avoidance rule applies when an arrangement has a more than merely incidental purpose or effect of defeating the intent and application of the R&D tax credit legislation in subpart [LY](#).

Under the rule, the Commissioner may reduce the person's entitlement to the R&D tax credit to the amount the Commissioner thinks appropriate. This applies whether or not the person is a party to the arrangement.

Other matters

Approved research providers

A person can apply for the Commissioner's approval to be an approved research provider (s [124ZH](#) of the TAA). The Commissioner will only approve a person if, in the Commissioner's opinion, the person:

- # is capable of performing core R&D activities on behalf of other people
- # has facilities in New Zealand needed to perform core R&D activities
- # is available to perform core R&D activities on behalf of third parties, and
- # performs, or will perform, core R&D activities for other people for market value consideration.

On granting approval, the Commissioner must notify the person and publish the approval. The Commissioner also has a discretion to revoke approval, but if they do, they must give the person reasons for the exercise of their discretion and specify the date from which the revocation takes effect.

Provisional tax

A person's R&D tax credit will reduce their future provisional tax payments. The definition of "residual income tax" has been amended so that R&D tax credits are taken into account.

Imputation and M#ori authority credits

A company has an imputation credit for the amount of R&D tax credits the company is entitled to (s [OB 9C](#)). In addition, a consolidated imputation group has an imputation credit for the amount of R&D tax credits the group company is entitled to (s [OP 11C](#)). If a company's shareholder continuity is breached between the time a company files its income tax return and the time it is refunded an R&D tax credit, the imputation credit account incurs only one imputation debit corresponding to the imputation credit (s [OB 37\(1C\)](#) and [117-045](#)).

A M#ori authority has a M#ori authority credit for the amount of R&D tax credits the M#ori authority is entitled to (s [OK 6C](#)). The imputation credit or M#ori authority credit, as applicable, is credited on the day the relevant entity files its return for the income year.

The use of the words "entitled to" ensures that if a R&D tax credit is reassessed downward, the amount of the imputation credit or M#ori authority credit will also be adjusted.

Record keeping

Persons who receive an R&D tax credit must keep sufficient records to support their claim. Approved research providers must keep sufficient records to show they meet the requirements to be an approved research provider, as well as the amounts derived and incurred by them in performing R&D activities on behalf of other persons. Records need to be kept for 7 years.

Publication of details of tax credits

The Commissioner is required to publish the names of people who have received an R&D tax credit and where the amount of their tax credit falls for a tax year, using appropriate dollar bands. However, publication cannot take place before 2 years after the end of the tax year to which the relevant tax credit relates (s [68CE](#) of the TAA).

Proscribed question for binding ruling

Taxpayers are unable to obtain binding rulings for any question related to R&D tax credits.

Extension of promoter penalty regime

The promoter penalty regime ([¶114-123](#)) is extended by including a person providing services on a contingency fee basis in relation to R&D tax credit claims within the definition of promoter. In addition, the definition has been amended to include a person party to, or significantly involved in, formulating software from which an arrangement is offered.

A promoter penalty will therefore apply where a person has offered 10 or more contingency fee arrangements in relation to R&D tax credit claims and one or more of the person's clients has been subject to a shortfall penalty for abusive tax position in relation to that arrangement. A promoter penalty will also apply where a person has offered an arrangement involving the use of software that calculates R&D claims to 10 or more people, and one or more of these people has become liable to a shortfall penalty for abusive tax position as a result of the R&D credit calculation undertaken as a result of the arrangement.

Information sharing

Exceptions to the secrecy provisions ensure IR is able to communicate information to officers, employees or agents of the Treasury, Callaghan Innovation, MBIE or other state sector entities for evaluating, administering, reporting statistics on, and forming the policy for the R&D tax credit regime. In addition, the Commissioner may communicate to an officer, employee or agent of Callaghan Innovation or MBIE information reasonably necessary for that person to perform their work in relation to:

- # offering R&D advice and incentives, including tax incentives, grants, loans, and any related measures aimed at incentivising R&D
- # the grant and administration of a loan made under the R&D loan scheme.

The Commissioner may also allow an officer, employee or agent of Callaghan Innovation access to information reasonably necessary for that person to perform their work in relation to administering tax credits provided in subparts [LY](#) and [MX](#).

Reporting on tax credit

The Minister of Research, Science and Innovation has to undertake an objective and independent evaluation of the R&D tax credit regime as soon as practicable after the end of the 2023–24 tax year and every 5 years subsequent.

In-year approval and significant performer regime

With effect from 1 April 2020, all persons (including LTCs and partnerships) are required to obtain approval of their R&D activities under s [68CB](#) (general approval process) or [68CC](#) (significant performer regime). Each is discussed below.

A decision made by the Commissioner under either of these mechanisms cannot be challenged, except through judicial review.

General approval process

The default rule is in s [68CB](#), which requires anyone intending to apply for an R&D tax credit for an income year to obtain approval of their R&D activities (general approval). General approval can last for up to 3 income years.

From 1 April 2025, applications for approval had to be made by the last day of the third month after the end of the relevant income year.

Originally businesses that carried out R&D activities were required to notify the Commissioner, in each of the second and third years of those approvals, that there have been no material changes for their business for the relevant income year. The notification had to be made by the seventh day of the second month after the end of the relevant income year. However, from the 2021 income year, this requirement has been removed.

A business cannot be credited for R&D activities or criteria and methodologies that are not covered, or are materially different from those covered, by their approval. If a taxpayer's R&D activities materially change during the period of an approval, and they wish the new activities to be covered by the approval, they must apply to the Commissioner for a variation of the approval (see ss [68CB\(3B\)](#) and [68CC\(4B\)](#) and [\(8\)](#) for CAM approvals).

In addition, s [68CF](#) permits extensions of time by 3 months for applications of approval.

Applications for general approval must set out the activities a person wants approved as R&D activities, the income years the person wants the general approval to apply for, and any other information required by the Commissioner. Once general approval is granted, the Commissioner must notify the person which activities are approved as core R&D activities or supporting R&D activities, the income years for which the general approval applies, and any conditions of the general approval. The Commissioner must notify the person of their intention to decline an application before the application is declined. This will allow the person the opportunity to provide additional information if required. The Commissioner's decision to approve or reject a general approval application cannot be challenged.

Once the Commissioner has approved the activities, the person's activities are approved for the income year provided:

- # a person's application is accurate
- # the person satisfies any conditions of the general approval that have been set by the Commissioner, and
- # there is no change to subpart [LY](#) (and any associated provisions) that materially alters the basis on which the general approval was provided.

If the Commissioner has provided general approval for more than one income year, the person must provide the Commissioner with confirmation on or before the seventh day of the second month after the end of the income year that there have not been any material changes for their business.

A person can apply to vary an existing general approval if their circumstances change. From 1 April 2025, an application for variations generally must be submitted by the last day of the third month after the end of the relevant income year. For variations relating to supporting R&D activities conducted in the year immediately after the year of the corresponding core R&D activity, application must be made by the last day of the 15th month after the end of the income year.

Note: The Tax Administration (Extension of Application Deadline for Research and Development Tax Credits) Order 2025 extends the due date for RDTI general approval for businesses with a September balance date for the 2024–25 income year to 15 January 2026.

Without general approval, a person will not be able to obtain R&D tax credits for an income year, unless they satisfy the requirements of, and choose to apply, the significant performer regime in s [68CC](#).

The original general approval is binding on the Commissioner but can be amended under limited circumstances (see below).

Filing under incorrect entity name

From the 2021–22 income year, the Commissioner is able to amend an original general approval or a CAM approval where a person, within a wholly-owned group, has applied for approval using an incorrect entity name (s [68CB\(3C\)](#)). Once the Commissioner approves the person's request to amend the entity name in an RDTI approval, the person has 30 days to subsequently file a supplementary return in the correct entity's name (s [33G](#)).

Significant performer regime

An alternative to the general approval process, the significant performer regime is available to persons who have, or reasonably estimate that they will have, more than \$2 million of eligible R&D expenditure for the relevant income year. The expenditure of partners in partnership, members of a joint venture, as well as companies in the same group of companies, can be grouped when determining this. People who opt into the significant performer regime are not able to obtain general approval of their R&D activities.

R&D certificates and certifiers

If a person opts into the significant performer regime, they are required to supply the Commissioner with an R&D certificate alongside their R&D supplementary return. The information R&D certificates must contain is not prescribed by legislation, but it is expected that R&D certificates will confirm that:

- # an R&D certifier (typically a law or accounting firm) has reviewed a sample of a person's eligible R&D expenditure
- # the expenditure sample reviewed by the R&D certifier was calculated in accordance with the R&D tax credit rules, and
- # the person actually incurred, or was reasonable in estimating that they would incur, more than \$2 million of eligible R&D expenditure in the relevant income year.

Section [124Z1](#) sets out the requirements for R&D certificates and accepted R&D certifiers. A person is an accepted R&D certifier if they:

- # have requested approval from the Commissioner in the prescribed form
- # have not had their R&D certifier approval revoked in the last 2 years
- # have not surrendered their approval in the last 2 years, if the surrender was in anticipation of a revocation
- # have made a statutory declaration that they are competent in applying appropriate accounting and legal standards in relation to R&D tax credits
- # have declared any other matters the Commissioner requires them to declare for assuring the Commissioner that they have the legal, accounting, and scientific expertise to complete R&D certificates, and
- # the Commissioner approves their application.

The Commissioner must not approve a person whose approval would adversely affect the integrity of the tax system.

Once the Commissioner approves a person's application to be an accepted R&D certifier, the Commissioner must notify the person and publish the approval in a publication chosen by the Commissioner. The approval starts from the date the person requests approval.

The Commissioner is able to revoke approval of an accepted R&D certifier at their discretion. If approval is revoked, this must be published in a publication chosen by the Commissioner. The revocation starts from the date the revocation is published.

If an accepted R&D certifier provides an R&D certificate to another person who has, in the 2 years before the income year, been liable to a shortfall penalty under s [141D](#) (Abusive tax position) or [141E](#) (Evasion or similar act) or entered into a tax avoidance arrangement in relation to R&D tax credits, the Commissioner must revoke the R&D certifier's approval. The Commissioner must also revoke a person's approval if the person is liable for a promoter penalty under s [141EB](#) or the person's approval would adversely affect the integrity of the tax system.

The Commissioner's decision to approve, decline to approve, or revoke the approval of an R&D certifier cannot be challenged.

Criteria and methodologies approval

People who opt into the significant performer regime are able to apply for criteria and methodologies approval (CAM approval). Applications for CAM approval must detail:

- # the criteria and methodologies the person wants the Commissioner to approve

- # the income years the CAM approval will apply for, and
- # any other information required by the Commissioner.

The Commissioner is able to approve appropriate criteria and methodologies that the person can use to determine whether their R&D activities and expenditure are eligible. The Commissioner may approve a person's criteria and methodologies for an income year and up to 2 further consecutive income years, provided the person makes an application on or before the seventh day of the second month after the end of the first income year.

With effect from the 2021–22 and later income years, the due date for submitting an application for CAM approval has been brought forward to the last day of the sixth month before the end of the first income year. The Commissioner may accept and approve an application after that date if the taxpayer has changed the end date of their income year due to a change in their balance date for the first income year.

Once CAM approval is granted, the Commissioner must notify the person of those criteria and methodologies the Commissioner approves of, the period for which the CAM approval applies, and any conditions of the CAM approval. The Commissioner must notify the person of her intention to decline an application before the application is declined. This will allow the person the opportunity to provide additional information if required.

Once the Commissioner has approved the criteria and methodologies, they are approved for the person for the income year provided:

- # a person's application is accurate
- # the person satisfies any conditions of the CAM approval that have been imposed by the Commissioner
- # there is no change to subpart [LY](#) (and any associated provisions) that materially alters the basis on which the CAM approval was provided, and
- # the person satisfies the other requirements of the significant performer regime (ie the person satisfies the \$2 million threshold and supplies an R&D certificate alongside their R&D supplementary return).

See commentary above under “General Approval process” for requirements relating to variations to approvals already in place when the R&D activities change materially. If a taxpayer's criteria and methodologies change materially during the period of approval, a variation must be approved by the Commissioner for the CAM approval to cover the change.

The Commissioner can revoke a criteria approval from the beginning of an income year if the Commissioner considers that a person has classified their activities or expenditure in a way that defeats the purpose and application of the R&D tax credit regime. The Commissioner's decision to approve, decline to approve, or revoke a criteria approval cannot be challenged.

Section [68CF](#) grants extensions of time.

Law: IT07 subpart [LY](#), ss [LZ 13](#), [LZ 14](#), [YA 1](#) (“ineligible internal software development”, “internal software development expenditure”, “levy body researcher”, “research and development contractor”, “research and development loan scheme”), [Schs 21](#), [21B](#); TAA ss [33E](#), [33G](#), [36BE](#), [68CB–68CF](#), [89DA\(1\)\(ab\)](#), [108\(1E\)](#), [113E](#), [124ZH](#), [124ZI](#), [138E\(1\)](#)

Last reviewed on 31 December 2025

FamilyBoost tax credit [¶11-200]

[¶11-200]

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The FamilyBoost tax credit regime provides financial assistance to certain families who incur early childhood education (ECE) costs, like fees paid to a kindergarten. It is a childcare tax rebate. Eligible families are reimbursed up to 40% of their ECE fees. This subsidy is paid after any eligibility for 20 hours ECE and childcare subsidies from the Ministry of Social Development are taken into account. A single claim is permitted, irrespective of how many children the caregiver has under their care.

Amount of tax credit

From 1 July 2025, reimbursement payments are paid quarterly and capped at \$1,560 per quarter. The payments reduce for households with annual income of \$140,000 and cease completely for households earning \$229,144 or more a year.

The abatement of the FamilyBoost tax credit works as follows:

Quarterly household income	Household annual income	Amount of quarterly refund
\$35,000	\$140,000	\$1,560
\$40,000	\$160,000	\$1,210
\$45,000	\$180,000	\$860
\$50,000	\$200,000	\$510
\$55,000	\$220,000	\$160
\$57,286 or more	\$229,144	\$0

Eligibility

The ECE provider must be registered under s 10 of the licensed under the Education and Training Act 2020.

Only natural persons are entitled to receive a FamilyBoost tax credit. The person must be the caregiver of one or more children enrolled with a licensed ECE provider, incurs the costs of ECE and must be a New Zealand resident.

A refund may be applied for if both the caregiver and their spouse, civil union partner, or de fact partner have filed their tax returns in time. Only one FamilyBoost tax credit arises for a couple.

If couples separate during a quarter, and the caregiver does not have a new partner at the end of the quarter, then the rule does not apply on a couple basis. Each parent may make a claim for the tax credit provided that they meet a portion of the costs. Each parent is treated as having a separate household.

Grandparents may also be eligible to claim the credit provided that the child lives in the grandparent's household and the ECE invoices are in the grandparent's name.

If an eligible person dies during a quarter, the trustee of the deceased estate can apply for a refund.

Refund application

Caregivers or parents must upload and submit their ECE invoices via IR's online myIR system, similar to the current donations tax credit model. Weekly invoices must be collected and submitted every 3 months. Payments will be deposited directly into the applicant's bank account.

Law: IT07 Subpart [MH](#), ss [MH 1](#), [MH 2](#), [MH 3](#), [MH 4](#), [MH 5](#); TAA s [41C](#)

Last reviewed on 31 December 2025